

NOTICE OF DEFAULT

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Date: [DATE OF NOTICE]

From (the "Non-Defaulting Party"): [YOUR NAME OR BUSINESS NAME], with a mailing address of [YOUR ADDRESS] ("Non-Defaulting Party," "I," or "we").

To (the "Defaulting Party"): [OTHER PARTY NAME OR BUSINESS NAME], with a mailing address of [OTHER PARTY ADDRESS] ("Defaulting Party" or "you").

Sent by: [CERTIFIED MAIL, RETURN RECEIPT REQUESTED / EMAIL / HAND DELIVERY / THE METHOD REQUIRED BY THE AGREEMENT].

Re: Notice of default under [NAME OF AGREEMENT / NOTE / LEASE] dated [AGREEMENT DATE].

Recitals. This letter (this "Notice") gives the Defaulting Party formal, written notice that it is in default under the agreement, note, or instrument identified below (the "**Agreement**"), specifies the default, and demands that the Defaulting Party cure the default within the period stated in **Section 4**. The Non-Defaulting Party sends this Notice to satisfy any notice-of-default requirement in the Agreement and to preserve its rights and remedies. Nothing in this Notice waives, limits, or releases any right or remedy of the Non-Defaulting Party, all of which are expressly reserved.

1. The Agreement

1.1 Identification. The parties are bound by the Agreement titled [AGREEMENT TITLE, e.g. Promissory Note, Loan Agreement, Lease, Security Agreement], dated [AGREEMENT DATE], between the Non-Defaulting Party and the Defaulting Party [and any guarantor or other party].

1.2 Relevant obligation. Under the Agreement, the Defaulting Party is obligated to [DESCRIBE THE OBLIGATION, e.g. make scheduled payments, maintain insurance, keep collateral in good condition, observe a financial covenant, or perform a described duty], as set out in [SECTION OR PARAGRAPH NUMBER OF THE AGREEMENT].

1.3 Standing. The Non-Defaulting Party is the [lender / lessor / secured party / counterparty / holder of the note] entitled to enforce the Agreement and to give this Notice.

2. The Event of Default

2.1 Description of the default. An event of default has occurred because the Defaulting Party has [failed to make the payment due on [DATE] / failed to perform the obligation described above / breached the covenant identified below / allowed another event of default specified in the Agreement to occur].

2.2 Specific facts. The facts supporting the default are: [STATE DATES, AMOUNTS, MISSED PAYMENTS, OR OTHER SPECIFIC FACTS]. As of the date of this Notice, the Defaulting Party has not cured the default.

2.3 **Cross-default (if applicable).** [OPTIONAL: A default under this Agreement may also constitute a default under [OTHER RELATED AGREEMENT], to the extent that agreement so provides.]

3. Amounts in Default (If Monetary)

3.1 **Past-due amount.** If the default involves money, the amounts currently in default are: past-due principal [PRINCIPAL]; accrued interest [INTEREST]; late charges, if allowed [LATE CHARGES]; and other recoverable amounts [OTHER], for a total currently in default of [TOTAL IN DEFAULT].

3.2 **Default interest and charges.** From the date of default, interest may accrue at the default rate stated in the Agreement, or, if none, at the rate allowed by the law of [STATE], together with any late charges the Agreement permits. The Non-Defaulting Party will apply only amounts and rates that are lawfully chargeable.

3.3 **Continuing accrual.** The amounts stated above may increase as interest, charges, and costs continue to accrue until the default is cured or the obligation is satisfied in full.

4. Right to Cure

4.1 **Demand to cure.** The Non-Defaulting Party demands that the Defaulting Party cure the default by [paying the total amount in default / performing the obligation / restoring the covenant to compliance] on or before [DEADLINE DATE, e.g. [NUMBER] days from the date of this Notice, or the cure period stated in the Agreement if longer] (the "Cure Period").

4.2 **Contractual and legal cure provisions.** If the Agreement or applicable law provides a specific cure period or method for this type of default, that provision controls and this Notice is intended to comply with it. Some agreements and laws require a minimum cure period; where they do, the longer period applies.

4.3 **How to cure.** The Defaulting Party may cure by [delivering payment to [NAME] at [ADDRESS] by [acceptable methods] / completing the required performance / providing written evidence of compliance], referencing [ACCOUNT OR LOAN NUMBER].

4.4 **Reinstatement.** A timely and complete cure within the Cure Period will, to the extent the Agreement and applicable law allow, reinstate the Agreement and avoid acceleration and the other remedies described below.

5. Consequences if the Default Is Not Cured

5.1 **Acceleration.** If the Defaulting Party does not cure within the Cure Period, the Non-Defaulting Party may, where the Agreement permits, declare the entire unpaid balance and all accrued amounts immediately due and payable ("acceleration"), without further notice or demand.

5.2 **Other remedies.** The Non-Defaulting Party may also exercise any other remedy available under the Agreement and applicable law, which may include [enforcing a security interest or lien / repossessing or foreclosing on collateral as the law allows / suing on the obligation / pursuing a guarantor / terminating the Agreement].

5.3 **Costs and fees.** In enforcing its rights, the Non-Defaulting Party may seek [interest, costs of collection, and, where the Agreement or a statute allows, reasonable attorneys' fees] to the extent permitted by law.

5.4 **No self-help beyond the law.** The Non-Defaulting Party will exercise its remedies only as the Agreement and applicable law permit, including any required notice, redemption, or judicial-process protections that apply to collateral or secured property.

6. Reservation of Rights and No Waiver

6.1 All rights reserved. This Notice is not a complete statement of the facts or law and is not a waiver or release of any right, claim, or remedy. The Non-Defaulting Party expressly reserves all rights and remedies under the Agreement and at law or in equity.

6.2 No waiver by acceptance or forbearance. Acceptance of a partial or late payment, or any delay in enforcing the Agreement, does not waive the default, reinstate the Agreement, or waive any right unless the Non-Defaulting Party agrees in a signed writing.

6.3 No election of remedies. Sending this Notice is not an election of remedies and does not commit the Non-Defaulting Party to any single course of action.

7. Opportunity to Resolve and Governing Law

7.1 Preference for resolution. The Non-Defaulting Party would prefer to resolve this matter without further escalation and is willing to discuss **[a forbearance, a modification, or a payment arrangement]** if the Defaulting Party responds promptly and in good faith. Any such arrangement is effective only if put in a signed writing.

7.2 How to respond. Please direct any response to **[CONTACT NAME]** at **[EMAIL / PHONE / ADDRESS]** before the end of the Cure Period.

7.3 Required notices. Where applicable law requires specific default-notice language, redemption rights, or consumer disclosures, the Non-Defaulting Party intends to comply with those requirements, and this Notice should be read together with any separately required notice.

7.4 Governing law. The Agreement and this Notice are governed by the laws of the State of **[STATE]**, and any action may be brought in the courts located in **[COUNTY, STATE]** or as otherwise required by the Agreement or by law.

Please treat this Notice as the Non-Defaulting Party's formal notice of default and demand to cure. The Non-Defaulting Party reserves all rights and remedies if the default is not cured within the Cure Period.

NON-DEFAULTING PARTY

Signature: _____

Printed name: **[NAME]**

Title: **[TITLE OR N/A]**

Date: _____

Enclosures: **[LIST ENCLOSED DOCUMENTS, e.g. payment history, the Agreement, or "None"]**

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